UNIVERSITÀ DEGLI STUDI DI BERGAMO
Dipartimento di Scienze Aziendali

IAS 38
Intangible Assets

Master Degree in
ACCOUNTING, GOVERNANCE AND SUSTAINABILITY

International and Advanced Accounting
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Introduction

Asset

A **present economic resource controlled** by the entity as a **result of past events** [CF 4.3]

*An economic resource is a **right** that has the potential to produce economic benefits.* [CF 4.4]

There are two classes of **assets**:

- ✓ **Tangible assets** contain various subclasses, including current assets and fixed assets.

  Current assets include inventory, while *fixed assets* include such items as buildings and equipment.

- ✓ **Intangible assets** are nonphysical resources and rights that have a value to the firm because they give the firm some kind of advantage in the market place.

  Examples of intangible assets are *goodwill, copyrights, trademarks, patents and computer programs, and* financial assets*, including such items as accounts receivable, bonds and stocks.*

IAS 38 – *Objective*

par. 1

The objective of this standard is to prescribe the accounting treatment for intangible assets that are not dealt with specifically in another standard.

This standard requires an entity to recognise an intangible asset if, and only if, specified criteria are met.

The standard also specifies how to measure the carrying amount of intangible assets

and requires specified disclosures about intangible assets. [IAS 38.1]

Example of Intangible Items:

- *Computer software*
- *Patents*
- *Copyrights*
- *Advertising*
- *Brands and trademarks*
- *Intellectual property*
- *Market knowledge*

IAS 38 – *Scope*

par. 2-7

This standard shall be applied in accounting for intangible assets, **except**: [IAS 38.2]

- intangible assets that are within the scope of another standard;
- financial assets, as defined in IAS 32 ***Financial instruments****: presentation*;
- the recognition and measurement of **exploration** and evaluation assets (see IFRS 6 Exploration for and evaluation of mineral resources);
- expenditure on the **development and extraction of, minerals, oil, natural gas** and similar non-regenerative resources.

IAS 38 – *Scope*

par. 2-7

If another Standard prescribes the accounting for a specific type of intangible asset, an entity applies that Standard instead of this Standard.

For example, **this Standard does not apply to**: [IAS 38.3]

- **intangible assets held by an entity for sale in the ordinary course of business** (see IAS 2 *Inventories*);
- deferred tax assets (see IAS 12 *Income taxes*);
- **leases of intangible assets** accounted for in accordance with IFRS 16 *Leases*;
- **assets arising from employee benefits** (see IAS 19 *Employee benefits*);
- financial assets as defined in IAS 32. The recognition and measurement of some financial assets are covered by IFRS 10 *Consolidated Financial Statements*, IAS 27 *Separate Financial Statements* and IAS 28 *Investments in Associates and Joint Ventures*;
- **goodwill acquired in a business combination** (see IFRS 3 *Business combinations*);

Cont'd

IAS 38 – *Scope*

par. 2-7

- contracts within the scope of IFRS 17 *Insurance Contracts* and any assets for insurance acquisition cash flows as defined in IFRS 17;
- **non-current intangible assets classified as held for sale** (or included in a disposal group that is classified as held for sale) in accordance with IFRS 5 *Non-current assets held for sale and discontinued operations*;
- assets arising from contracts with customers that are recognized in accordance with IFRS 15 *Revenue from Contracts with Customers*.

IAS 38 – *Definitions*

par. 8-17

Intangible asset

An identifiable non-monetary asset without physical substance [IAS 38.8], **held for use** in the production or supply of goods or services, **for rental** to others or for administrative purpose.

An intangible asset can be neither seen nor touched, but it can be used by the owner to generate economic benefits, such as a design that it used in the production process, or knowledge of employees that it used in supplying a service.

IAS 38 – *Definitions*

par. 8-17

Identifiability

The definition of an intangible asset requires an intangible asset to be identifiable to distinguish it from goodwill.

Goodwill recognised in a business combination is an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised.

The future economic benefits may result from synergy between the identifiable assets acquired or from assets that, individually, do not qualify for recognition in the financial statements. [IAS 38.11]

IAS 38 – *Definitions*

par. 8-17

Identifiability

An asset is <u>identifiable</u> if it either: [IAS 38.12]

- ✓ is ***separable***, i.e. is capable of being separated or divided from the entity and sold, transferred, licensed, rented or exchanged, either individually or together with a related contract, identifiable asset or liability, regardless of whether the entity intends to do so; or
- ✓ *arises from* ***contractual or other legal rights***, regardless of whether those rights are transferable or separable from the entity or from other rights and obligations.

IAS 38 – *Definitions*

par. 8-17

Control

An entity controls an asset if the entity has the power to obtain the future economic benefits flowing from the underlying resource and to restrict the access of others to those benefits. The capacity of an entity to control the future economic benefits from an intangible asset would normally stem from legal rights that are enforceable in a court of law.

In the absence of legal rights, it is more difficult to demonstrate control. However, legal enforceability of a right is not a necessary condition for control because an entity may be able to control the future economic benefits in some other way. [IAS 38.13]

IAS 38 – *Definitions*

par. 8-17

Future economic benefits

The future economic benefits flowing from an intangible asset may include revenue from the sale of products or services, cost savings, or other benefits resulting from the use of the asset by the entity.

For example, the use of intellectual property in a production process may reduce future production costs rather than increase future revenues. [IAS 38.17]

IAS 38 - *Recognition*

par. 18-65

The recognition of an item as an intangible asset requires an entity to demonstrate that the item meets:

a) the *definition of an intangible asset* (see paragraphs 8-17); and

b) the *recognition criteria* (see paragraphs 21-23).

This requirement applies to costs incurred initially to acquire or internally generate an intangible asset and those incurred subsequently to add to, replace part of, or service it. [IAS 38.18]

IAS 38 - *Recognition*

par. 18-65

Recognition Criteria

An intangible asset **shall be recognised if, and only if**: [IAS 38.21]

a) *it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity*; and

b) *the cost of the asset can be measured reliably*.

IAS 38 - *Recognition*

par. 18-65

Recognition Criteria

An entity shall assess the probability of expected future economic benefits using reasonable and supportable assumptions that represent management's best estimate of the set of economic conditions that will exist over the useful life of the asset.

[IAS 38.22]

An entity uses judgement to assess the degree of certainty attached to the flow of future economic benefits that are attributable to the use of the asset on the basis of the evidence available at the time of initial recognition, giving greater weight to external evidence.

[IAS 38.23]

Example

Example of identifying intangible assets

An entity acquires a group of assets at a total cost of € 250.000 from a wholesale supplier.

The intention is to make wooden pencil case.

The assets acquired are valued as follows at their acquisition date:

- Raw materials: € 150.000
- Design of the product: € 50.000
- Labels and packaging for the completed product: € 20.000

Example

The assets acquired consist of tangible inventory *(raw materials, labels and packaging)* and an intangible asset *(the design to make the product)*.

The design has a specific value to the entity.

Without it, the raw materials are useless, as the entity will not be able to make the final product.

The entity has recognized this value in the amount that it was prepared to pay for the design.

Example

However, for the entity to be able to make and sell the product successfully, it needs all 3 assets, which is why it was prepared to pay an excess amount of

€ **30.000** = 250.000 - (150.000 + **50.000** + 20.000)

for the combined assets.

This excess paid is a possible example of the **acquired goodwill**.

Because you are able to identify the value of the design separately from the goodwill, the design and the goodwill should be recognized as 2 different assets.

The entity has paid for the goodwill, and therefore you can measure the goodwill, which should be recognized at € 30.000.

Goodwill is not an identifiable item as defined above,

and is not, therefore by definition an intangible asset.

IAS 38 - *Recognition*

par. 18-65

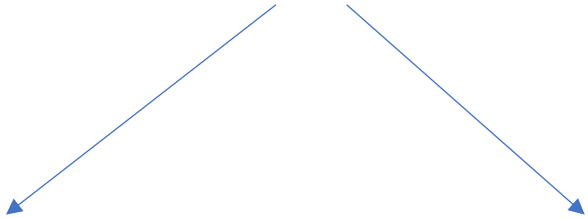
An intangible asset shall be measured initially at COST. [IAS 38.24]

The cost of an intangible asset is the cash consideration paid for the asset, which is determined at the time of acquisition.

The cost of an intangible asset can easily be determined when the asset is acquired from a third party.

Recognition

One of the factors that must be considered when accounting for intangibles is whether the intangible asset has been



purchased from another party

internally generated

IAS 38 - *Recognition*

par. 18-65

Separate acquisition

Normally, the price an entity pays to acquire separately an intangible asset will reflect expectations about the probability that the expected future economic benefits embodied in the asset will flow to the entity. In other words, the entity expects there to be an inflow of economic benefits, even if there is uncertainty about the timing or the amount of the inflow. Therefore, the probability recognition criterion in paragraph 21(a) is always considered to be satisfied for separately acquired intangible assets. [IAS 38.25]

In addition, **the cost of a separately acquired intangible asset can usually be measured reliably**. This is particularly so when the purchase consideration is in the form of cash or other monetary assets. [IAS 38.26]

IAS 38 - *Recognition*

par. 18-65

Separate acquisition

The cost of a separately acquired intangible asset comprises: [IAS 38.27]

a) *its purchase price*, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates; and

b) *any directly attributable cost of preparing the asset for its intended use*.

IAS 38 - *Recognition*

par. 18-65

Examples of expenditures that are not part of the cost of an intangible asset are: [IAS 38.29]

- Costs of introducing a new product or service (including costs of advertising and promotional activities);
- Costs of conducting business in a new location or with a new class of customer (including costs of staff training); and
- Administration and other general overhead costs.

IAS 38 - *Recognition*

par. 18-65

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- Administration and other general overhead costs.

IAS 38 - *Recognition*

par. 18-65

One or more intangible assets may be acquired in **exchange for a nonmonetary asset or assets, or a combination of monetary and non-monetary assets**. The following discussion refers simply to an exchange of one non-monetary asset for another, but it also applies to all exchanges described in the preceding sentence. The cost of such an intangible asset is measured at fair value unless:

(a) the exchange transaction lacks commercial substance or

(b) the fair value of neither the asset received nor the asset given up is reliably measurable.

The acquired asset is measured in this way even if an entity cannot immediately derecognise the asset given up. If the acquired asset is not measured at fair value, its cost is measured at the carrying amount of the asset given up. [IAS 38.45]

IAS 38 - *Recognition*

par. 18-65

In accordance with IFRS 3 *Business Combinations*,

if an intangible asset is acquired in a business combination,

the cost of that intangible asset is its fair value at the acquisition date.

[IAS 38.33]

IAS 38 - *Recognition*

par. 18-65

Internally-generated intangible assets

Assets that have not been acquired from third party, but which have been developed internally by the entity.

IAS 38 provides some guidelines relating to the measurement of internally-generated assets.

Where it is not possible to measure the cost of an intangible item, you should not recognize this item as an intangible asset.

IAS 38 - *Recognition*

par. 18-65

Expenditure

RESEARCH EXPENDITURE

No intangible asset arising from research (or from the research phase of an internal project) **shall be recognized**.

Expenditure on research (or on the research phase of an internal project) shall be recognized as an expense when it is incurred. [IAS 38.54]

DEVELOPMENT EXPENDITURE

Development expenditure is incurred when research findings or other knowledge are applied to plan the production of new or substantially improved materials, products or processes before these are commercially produced or used.

IAS 38 - *Recognition*

par. 18-65

RESEARCH EXPENDITURE

In the research phase of an internal project, an entity cannot demonstrate that an intangible asset exists that will generate probable future economic benefits. Therefore, this expenditure is recognized as an expense when it is incurred. [IAS 38.55]

Examples of research activities are: [IAS 38.56]

- *activities aimed at obtaining new knowledge;*
- *the search for, evaluation and final selection of, applications of research findings or other knowledge*;
- *the search for alternatives for materials, devices, products, processes, systems or services*; and
- *the formulation, design, evaluation and final selection of possible alternatives for new or improved materials, devices, products, processes, systems or services.*

IAS 38 - *Recognition*

par. 18-65

DEVELOPMENT EXPENDITURE

An intangible asset arising from development (or from the development phase of an internal project) shall be recognised **if, and only if, an entity can demonstrate all of the following**: [IAS 38.57]

a) **the technical feasibility** of completing the intangible asset so that it will be available for use or sale;

b) **its intention to complete the intangible asset and use or sell it**;

c) **its ability to use or sell the intangible asset**;

d) **how the intangible asset will generate probable future economic benefits**. Among other things, the entity can demonstrate the existence of a market for the output of the intangible asset or the intangible asset itself or, if it is to be used internally, the usefulness of the intangible asset;

e) **the availability of adequate technical, financial and other resources** to complete the development and to use or sell the intangible asset;

f) **its ability to measure reliably the expenditure** attributable to the intangible asset during its development.

Example

Example of recognising research and development expenditure

An entity decided to design a **new website** for its business, hoping to benefit by selling some products via e-commerce.

During the 20X5 reporting year, it researched how to design the website and what security systems would required for the e-commerce transactions.

At the end of the 20X5 reporting year, the full costs of research amounted to € 60.000, which you expensed in profit and loss, as it was still at the research stage.

During 20X6 management obtained the help of a consultant and decided that sufficient research had been done on this website to go ahead with its development.

The consultants charged € 50.000 for the development of the website, and management agreed to pay half of this when the development commenced.

Example

You capitalized the amount paid by debiting an account called “Website asset” with € 25.000.

But during the development there were many difficulties, mainly resulting from the firewalls and security that needed to be added, and, at the end of 20X6 reporting date, you were unsure if this website would be feasible, and whether the entity would be able to use it successfully.

As a result, you correctly concluded that the € 25.000 charged by the consultant should be written off as an expense in profit and loss.

Example

In the following year, 20X7, everything started to fall into place.

New software programs became available which the entity could acquire and add to the website for security, and it was possible to test-run the website at the end of the financial year with very good prospects.

Management paid the consultant the second half of the € 50.000 and also incurred a further € 30.000 to pay for the new security software.

At the 20X7 reporting date you could prove the feasibility of the website and the availability of a market, and management planned to launch the website early in the new year.

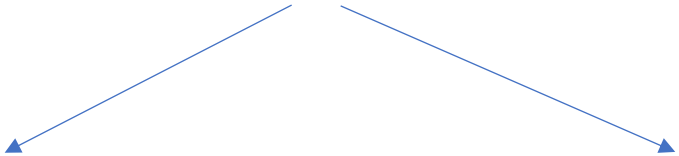
You concluded that the website met the definition and recognition criteria of an intangible asset and decided to capitalize the costs incurred in the current year: € 25.000 + €30.000 = € 55.000.

However, **you could not reserve the cost of the € 25.000 previously written off.**

Measurement after Recognition

Subsequent measurement

After initial recognition an entity can choose between



Cost model **Revaluation model**

IAS 38 – *Measurement after Recognition* *par. 72-87*

Cost model



After initial recognition, an intangible asset shall be carried at its cost less any accumulated amortisation and any accumulated impairment losses. [IAS 38.74]

IAS 38 – *Measurement after Recognition* *par. 72-87*

Revaluation model

After initial recognition, an intangible asset shall be carried at a revalued amount, being its fair value at the date of the revaluation less any subsequent accumulated amortisation and any subsequent accumulated impairment losses.

For the purpose of revaluations under this Standard**, fair value shall be measured by reference to an active market**.

Revaluations shall be made with such regularity that at the end of the reporting period the carrying amount of the asset does not differ materially from its fair value. [IAS 38.75]

If an intangible asset is accounted for using the revaluation model, all the other assets in its class shall also be accounted for using the same model, unless there is no active market for those assets. [IAS 38.72]

IAS 38 - *Recognition and Measurement* *par. 18-65*

Subsequent expenditure

The nature of intangible assets is such that, in many cases, there are no additions to such an asset or replacements of part of it. Accordingly, most subsequent expenditures are likely to maintain the expected future economic benefits embodied in an existing intangible asset rather than meet the definition of an intangible asset and the recognition criteria in this standard. In addition, **it is often difficult to attribute subsequent expenditure directly to a particular intangible asset rather than to the business as a whole. Therefore, only rarely will subsequent expenditure** – expenditure incurred after the initial recognition of an acquired intangible asset or after completion of an internally generated intangible asset – **be recognised in the carrying amount of an asset**.

Consistently with paragraph 63, subsequent expenditure on brands, mastheads, publishing titles, customer lists and items similar in substance (whether externally acquired or internally generated) is always recognised in profit or loss as incurred. This is because such expenditure cannot be distinguished from expenditure to develop the business as a whole.

[IAS 38.20]

Subsequent expenditure

Example of subsequent expenditure

In the previous example the entity developed a website that had a capitalised cost of € 55.000 at the 20X7 reporting date.

At the beginning of the next reporting period, the company introduced new, imported products and upgraded the website at a cost of € 15.000 to facilitate the sale of these new products.

The subsequent expenditure of € 15.000 should be tested against the definition and recognition criteria of an asset.

As you concluded that the company can measure these costs and that the receipt of future economic benefits from these additional costs is probable, you should capitalise these costs as an asset.

Amortisation

Amortisation of intangible assets

Amortization occurs when the initial cost of an intangible asset is systematically written off over its expected useful life.

Is conceptually the same as the depreciation of property, plant and equipment.

Amortisation

An intangible asset should be amortized over its expected useful life

(the amortization period)

to its expected residual value on a systematic basis.

Useful life

An intangible asset with a

finite useful life

should be amortised over

this period.

An intangible asset with an **indefinite useful life** should not be amortised.

But the useful life of such an asset should be reviewed in every accounting period.

IAS 38 – *Intangible assets with finite useful lives* *par. 97-106*

Amortisation methods

The amortisation method used shall reflect the pattern in which the asset's future economic benefits are expected to be consumed by the entity. [IAS 38.97]

A variety of amortisation methods can be used to allocate the depreciable amount of an asset on a systematic basis over its useful life. These methods include:

- the straight-line method,
- the diminishing balance method and
- the units of production method.

IAS 38 – *Intangible assets with finite useful lives* *par. 97-106*

Amortisation methods

The method used is selected on the basis of the expected pattern of consumption of the expected future economic benefits embodied in the asset and is applied consistently from period to period, unless there is a change in the expected pattern of consumption of those future economic benefits.

[IAS 38.98]

If that pattern cannot be determined reliably, the straight-line method shall be used.

[IAS 38.97]

IAS 38 – *Intangible assets with finite useful lives* *par. 97-106*

Review of residual value, useful life and amortization period and amortization method

- The **residual value is reviewed at least at each financial year-end**. [IAS 38.102]
- The **useful life** of an intangible asset that is not being amortized **shall be reviewed each period to determine whether events and circumstances continue to support an indefinite useful life assessment for that asset**. If they do not, the change in the useful life assessment from indefinite to finite shall be accounted for as a change in an accounting estimate in accordance with IAS 8. [IAS 38.109]
- The **amortization period** and the **amortization method** for an intangible asset with a finite useful life **shall be reviewed at least at each financial year-end**. If the expected useful life of the asset is different from previous estimates, the amortization period shall be changed accordingly. If there has been a change in the expected pattern of consumption of the future economic benefits embodied in the asset, the amortization method shall be changed to reflect the changed pattern. Such changes shall be accounted for as changes in accounting estimates in accordance with IAS 8. [IAS 38.104]

IAS 36 - *Impairment*

Impairment of intangible assets

An asset is impaired if the carrying amount of the asset is higher than its recoverable amount.

To determine the recoverable amount for an intangible asset.



Reference to IAS 36 *Impairment of assets*

An impairment test should be **performed only if evidence exists to indicate that an intangible asset has been impaired**.

Where the intangible asset has an **indefinite useful life**, an **impairment test should also be done annually**, even if there is no indication of impairment.

IAS 38 – *Retirements and disposal*

par. 112-117

Derecognition of intangible assets

An intangible asset shall be derecognized: [IAS 38.112]

a) on disposal; or

b) when no future economic benefits are expected from its use or disposal.

The gain or loss arising from the derecognition of an intangible asset shall be determined as the difference between the net disposal proceeds, if any, and the carrying amount of the asset. It shall be recognized in profit or loss when the asset is derecognized (unless IFRS 16 requires otherwise on a sale and leaseback.) Gains shall not be classified as revenue. [IAS 38.113]

The disposal of an intangible asset may occur in a variety of ways (e.g. by sale, by entering into a finance lease, or by donation). The date of disposal of an intangible asset is the date that the recipient obtains control of that asset in accordance with the requirements for determining when a performance obligation is satisfied in IFRS 15 *Revenue from Contracts with Customers*. IFRS 16 applies to disposal by a sale and leaseback. [IAS 38.114]

IAS 38 – *Disclosure*

par. 118-128

Disclosure requirements

An entity shall disclose the following **for each class of intangible assets**, distinguishing between internally generated intangible assets and other intangible assets: [IAS 38.118]

a) **whether the useful lives are indefinite or finite** and, if finite, the useful lives or the amortisation rates used;

b) **the amortisation methods** used for intangible assets with finite useful lives;

c) **the gross carrying amount and any accumulated amortisation** (aggregated with accumulated impairment losses) at the beginning and end of the period;

IAS 38 – *Disclosure*

par. 118-128

Disclosure requirements

d) the line item(s) of the statement of comprehensive income in which any amortisation of intangible assets is included;

e) a reconciliation of the carrying amount at the beginning and end of the period *(showing, for example, additions, disposals, revaluations, impairment, amortisation charge for period).*

IAS 38 – *Disclosure*

par. 118-128

Disclosure requirements

An entity **shall also disclose**: [IAS 38.122]

a) for an intangible asset assessed as having an indefinite useful life, the carrying amount of that asset and **the reasons supporting the assessment of an indefinite useful life**. In giving these reasons, the entity shall describe the factor(s) that played a significant role in determining that the asset has an indefinite useful life;

IAS 38 – *Disclosure*

par. 118-128

Disclosure requirements

b) a description, the carrying amount and remaining amortisation period of any individual intangible asset that is material to the entity's financial statements;

c) for intangible assets acquired by way of a **government grant** and initially recognised at fair value:

- the fair value initially recognised for these assets;
- their carrying amount; and
- whether they are measured after recognition under the cost model or the revaluation model;

d) the existence and carrying amounts of intangible assets whose title is restricted and the carrying amounts of intangible assets pledged as security for liabilities;

e) the amount of contractual commitments for the acquisition of intangible assets.

IAS 38 – *Disclosure*

par. 118-128

If intangible assets are accounted for at revalued amounts, an entity shall disclose the following: [IAS 38.124]

a) by class of intangible assets:

- the effective date of the revaluation;
- the carrying amount of revalued intangible assets; and
- the carrying amount that would have been recognised had the revalued class of intangible assets been measured after recognition using the cost model in paragraph 74; and

b) the amount of the revaluation surplus that relates to intangible assets at the beginning and end of the period, indicating the changes during the period and any restrictions on the distribution of the balance to shareholders.

Example

Example IAS 38

Alfa has 2 factories: Z & X in 2 different cities



01/01/20X0 Reorganization



X will close

Z will be the only operating factory

Alfa will buy new equipment

Example

Reorganization costs:

- Training new staff: € 40.000
- Consultancy costs: € 550.000
- Working time: € 150.000
- Loss of efficiency: € 30.000
- Advertising campaign: € 20.000

Other costs:

- Costs to close «X» factory: € 1.000.000
- Feasibility study: € 90.000
- Reinstatement workers: € 50.000

How IAS 38 considers these costs?

Example

Costs to close «X» factory	**SFP**	**IS**
		1.000.000



There aren't future economic benefits.

Feasibility study	**SFP**	**IS**
		90.000



It is like an expenditure on research and this expenditure is recognized as an expense when it is incurred.

Example

Reinstatement workers	**SFP**	**IS**
		50.000

Workers could leave their job

Consultancy costs	**SFP**	**IS**
	550.000	

Development expenditure may be capitalized but the 6 criteria must all be demonstrated.

Example

Loss of efficiency at the beginnig	**SFP**	**IS**
		30.000



It isn't an intangible asset even if in the future there will be future economic benefits because the 6 criteria aren't meet.

Advertising campaign	**SFP**	**IS**
		20.000



It is considered an addition to internally generated goodwill, which it should not be capitalized as asset

Example

Working time **SFP** **IS**

150.000

Directly attributable costs: costs of employee benefits (as defined in IAS 19) arising directly from bringing the asset to its working condition.

Training new staff **SFP** **IS**

40.000

Alfa couldn't control the future economic benefits and workers could leave their job.

Summary

The main requirements of **IFRS 3** ***Business Combinations*** and **IAS 38** ***Intangible Assets*** are:

- **Purchased goodwill** and **intangible assets** should be capitalized as assets.
- **Internally generated goodwill should not be capitalized**.
- Internally developed intangible assets should be capitalized only where it is probable that future economic benefits will flow to the enterprise and the cost of the asset can be measured reliably ***(developments costs)***.
- Capitalized assets are subject to **amortization** and **impairment** review.
- Intangible assets with an **indefinite useful life are not amortized and** should receive the **impairment test every year**.

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